



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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March 19, 2026

VIA ELECTRONIC MAIL

Evan Escobar
Blue Cross of California Partnership Plan, Inc.
21215 Burbank Boulevard
Woodland Hills, CA 91367

Re: Proposed Contract Termination with O'Connor Hospital
Block Transfer Filing No. 2026-HOSP-89
Filed on March 16, 2026

Dear Mr. Escobar:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California Partnership Plan, Inc.** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **O'Connor Hospital** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **July 1, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Regarding the Enrollee Transfer Notice submitted for this Filing, the following information was found missing. Please resubmit the Enrollee Transfer Notice for the Department's review to include the following:
 - a. Statement and/or attachment informing enrollees that they may contact the Plan for language assistance. This statement must include the contact information for these services written in the identified top 15 threshold languages spoken by limited-English-proficient individuals in California as determined by the DHCS.

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2. Please confirm the Plan will utilize the most recently approved eFiling Enrollee Transfer Notice Templates for this Block Transfer Filing.
3. Please confirm that the Plan is aware that it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval.
4. The Plan indicated on the Block Transfer Filing Form that the hospital termination is part of the Santa Clara Valley Healthcare System termination. Please confirm if the contract is a stand-alone contract.
5. Please confirm whether the contract termination between the Plan and the Terminating Hospital impacts Point of Service (POS) enrollees.
6. Please indicate whether the Terminating Hospital is or provides any of the following:
 - a. Tertiary care, quaternary care, cancer, burn or other high-level specialty services,
 - b. Transplant services, and if so,
 - i. What types of transplants,
 - ii. Whether the contract termination includes the transplant contract,
 - iii. The termination date of the transplant contract if separate from the hospital contract.
 - c. Recognized or designated as a hospital that provides other high-level specialty services, such as a Center of Excellence for Bariatric Surgery, Blue Distinction Center for Spine Surgery, etc., and if so,
 - i. Identify the distinguished services.
7. According to HCAi data, the Terminating Hospital offers Burn services. Please explain where the enrollees can receive this service post-termination.
8. For each affected provider group that primarily utilizes the Terminating Hospital, please summarize or confirm the following:
 - a. The ability of the provider group to redirect enrollees to the Alternate Hospitals:
 - i. Whether there is any specialty for which all of the associated specialists have admitting privileges **only** at the Terminating Hospital and not at any of the Alternate Hospitals,
 1. If yes, please identify the specialty and explain how Plan enrollees assigned to the provider group will receive care and services for that specialty following contract termination.
 - ii. If the provider group does not have any primary care physicians or specialists with admitting privileges to one or more Alternate Hospitals, please explain how its assigned enrollees will be

admitted to the Alternate Hospital(s) (e.g. via hospitalists, Plan admission process, etc.).

1. If hospitalists are utilized, please indicate:
 - a. The name of the group,
 - b. The number of associated hospitalists, and
 - c. If the hospitalists can admit enrollees for any medically necessary services.
9. In the Block Transfer Filing form, the Plan indicates zero bed days utilized and zero admissions within the last calendar year. However, in the Enrollee Access section, the Plan indicates that the Directly Contracted Network utilized 141 bed days across 27 admissions. Please reconcile this discrepancy and confirm the correct number of bed days and admissions.
10. The Department notes that the Plan has chosen Directly Contracted Network (DCN) as a group that admits to the Terminating Hospital, for the Enrollee Access section of the Block Transfer Filing Form. Please state whether DCN is impacted by the pending termination or if DCN was selected because a provider group must be chosen for Enrollee Access section of the Block Transfer Filing Form.
11. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospitals:
 - a. Any out-patient or in-patient services,
 - b. Any tertiary care, quaternary care, cancer, burn or other high-level specialty services,
 - c. Any transplant services.

If any services are not available at the Alternate Hospitals, please explain where affected enrollees will receive these services following contract termination.
12. Are there enrollees who have a residence or workplace within 15 miles or 30 minutes of a contracted hospital prior to termination, but would have a residence or workplace beyond 15 miles or 30 minutes of a contracted hospital post-termination?
13. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination.
14. Please confirm whether the provider group(s) in this Block Transfer Filing are facing potential contract termination(s) within six months. In addition, if the Plan is required to file a Block Transfer Filing for any of the provider group(s), please provide the name of the provider group and the filing number of each Block Transfer Filing.

Please submit the Plan's response by **March 26, 2026**, via the Block Transfer portal as a

"Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,

A handwritten signature in black ink, appearing to read "Stacie Litovchenko". The signature is fluid and cursive, with the first name "Stacie" being more prominent and the last name "Litovchenko" written in a more compact, flowing style.

Stacie Litovchenko
Analyst II
Office of Plan Monitoring